ADDIS ABABA UNIVERSITY COLLEGE OF BUSINESS & ECONOMICS DEPARTMENT OF ACCOUNTING AND FINANCE	
Course Title	**Fundamentals of Accounting I**
Course code	**ACFN-3142**
Lecturer	**Tadesse Kebede**
ETCTS Credits	**5**
Contact Hours (per week)	**3**
Course Objectives	Upon the successful completion of this course, the students will be expected to: ▪ Understand the role of Accounting in business and develop an awareness of the accounting profession ▪ Understand the purpose of the financial accounting function and standard financial accounting practices ▪ Summarize and apply basic financial accounting terms, concepts, and principles. ▪ Define and apply accounting terminology, concepts, and principles in analyzing, recording, and reporting basic business transactions ▪ Take a series of transactions through the accounting cycle ▪ Analyze, record, and report transactions for service and merchandising businesses. ▪ Prepare financial statements ▪ Analyze accounting system design and control ▪ Apply accounting cash and receivables.

WEEKS	Course Contents	Reading
2WEEKS {1ST&2ND }	**1. Introduction to Accounting and Business** **1.1.** Nature of Business and Accounting **1.1.1** Role of Accounting in Business **1.1.2** Role of in Accounting and Business **1.1.3** The profession of accounting and opportunities for Accountants **1.2.** Overview of International Financial reporting Standards (IFRS) **1.3.** The Accounting Equation and elements of the equation **1.4.** Business Transactions and Financial Statements	Kieso, IFRS 3rd edition
3 WEEKS {3RD, 4TH & 5TH}	**2. Accounting Cycle for Service giving business** **2.1.** Characteristics of an account **2.2.** Classification of accounts **2.3.** Chart of accounts **2.4.** Rules of debit and credit **2.5.** Normal balances of accounts **2.6.** Analyzing and recording transactions **2.7.** Preparing a trial balance **2.8.** The usefulness and limitations of a trial balance **2.9.** The adjusting process-accrual vs. cash basis of accounting **2.10.** Preparing a worksheet **2.11.** Preparing financial statements from a worksheet **2.12.** Adjusting and closing entries **2.13.** Post-closing trial balance	Kieso, IFRS 3rd edition
	3. Accounting for a Merchandising Business	Kieso, IFRS 3rd

3 Weeks {7TH, 8TH, & 9TH}	**3.1.** Nature of Merchandising Business **3.2.** Accounting for Purchases **3.3.** Accounting for Sales **3.4.** Merchandise Inventory Systems: Perpetual and Periodic **3.5.** Preparation of Financial Statements **3.6.** Merchandise Inventory Adjustments **3.7.** Adjustments for Deferrals and Accruals	edition
1 Week {10TH }	**4. Accounting Systems** **4.1.** Manual and Computerized Accounting Systems and Enterprise Resource Planning **4.2.** Subsidiary Ledgers and Controlling Accounts **4.3.** Special Journals and Vouchers	Kieso, IFRS 3rd edition
3 Weeks {11TH,12TH ,& 13TH }	**5. Cash and Receivables** **5.1.** Internal control over cash **5.2.** Bank reconciliation **5.3.** Petty cash and change funds **5.4.** Classifications of receivables **5.5.** Internal control of receivables **5.6.** Accounting for uncollectible accounts **5.7.** Accounting for notes receivable **5.8.** Presentation of cash and receivables on the statement of financial position	Kieso, IFRS 3rd edition

Assessment/ Evaluation

The evaluation scheme will be as follows:

Component	Weight	Coverage
Test 1	**25%**	Chapter 1 & 2
Test 2	**15%**	Chapter 3
Assignment	**10%**	Chapter 1, 2, 3 & 4
Final Exam	**50%**	All chapters

Text and Reference Books

Textbook

- Kieso, D. E., Weygandt, J. J., & Warfield, T. W. (2016). Financial Accounting, IFRS 3rd Edition, New York: John Willey & Sons.

Reference Books

- Warren, C.S., Reeve, J.M., and Duchac, J.E., (2018), Accounting, 27th edition, Cengage Learning/Any recent edition/
- Wild, J.J., and Shaw, K.W., (2018), Fundamental Accounting Principles, 24th Edition, McGraw-Hill Education
- Weygandt, J.J., Kimmel, P.D., and Kieso, D.E., (2018), Accounting Principles, 13th Edition, John Wiley & Sons, Inc.
- Wild, J.J., Shaw, K.W., and Chiappetta, B. (2014), Fundamental Accounting Principles, 22nd Edition, McGraw-Hill Education
- Smith, Keith & Stephens, Accounting Principles, 3rd edition and above, McGraw Hill bookCompany.1989 and beyond.
- Hermanson, Edwards and Salmonson, Accounting Principles, 4th ed., Richard D. Irwin, Inc.1989.
- Larson, Kermit D., Fundamental Accounting Principles, 12th edition and above, Richard Irwin Inc., 1990 and beyond.
- Meigs Walter B., Accounting, The Basis for Business Decisions, 6th Ed and above, McGraw-Hill